OXFORD ECONOMICS

DATA INSIGHT | EUROZONE

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Credit flows surprise to the upside

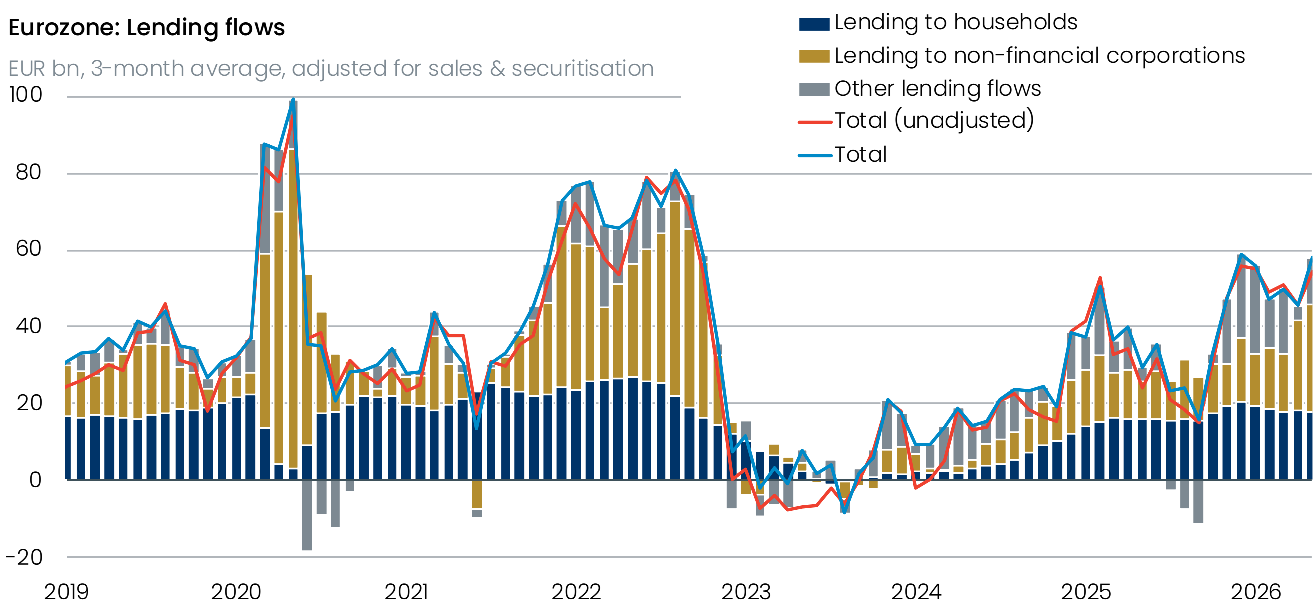
- **Credit trends improved in May, with annual growth in loans to the private sector rising to an over three-year high of 3.9%. A pickup in business lending is behind the recent acceleration, while loans to households have been more stable. The data is signalling resilience to the outbreak of the war in Iran, but ongoing growth rates are still below historical averages, meaning credit is providing only a modest impulse to growth.**
- **Recent improvement in credit to firms has been broad-based, including across longer maturity loans. These are usually more important for business investment, and so we read this as another sign of resilience.**

Credit trends improved in May, with the growth in loans to the private sector rising to 3.9% y/y after two consecutive readings at 3.5%. The data breakdown continues to point to slightly firmer growth in loans to non-financial corporations, with a fourth consecutive solid reading in monthly flows leaving growth at a three-year high of 4% y/y, up from 3.4% in April. Medium to long-term loans were solid for a second consecutive month, an encouraging development given these loans tend to be more associated with business investment.

Loans to households are still growing close to 3% y/y, with monthly flows for house purchase regaining some momentum in May. Broad money growth also rose by a similar rate in May.

All told, today's data signalled continued resilience to the outbreak of the war in Iran, which was expected to result in a net tightening of bank credit standards and lower loan demand. But ongoing growth rates in bank loans are still below historical averages, which stand at 4.3% for business loans and 4.1% for household loans. M3 growth also compares poorly with the historical average above 5%. This is consistent with credit and monetary developments providing only a modest impulse to growth. A quick step-up in growth looks unlikely in our view amid high uncertainty fogging business investment and still weak consumer sentiment.

Chart 1: Lending flows showed some resilience to the war in Iran



Sources: Oxford Economics, Haver Analytics

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